

DRYWALL PRO

How to Price Drywall Per Square Foot

The complete guide to calculating accurate bids, setting competitive rates, and maximizing profit on every drywall job.

DRYWALL PRO BONUS GUIDE

Introduction to Drywall Pricing

Pricing drywall work accurately is one of the most critical skills a contractor can develop. Charge too much and you lose bids to competitors. Charge too little and you eat into your profit or lose money on a job.

The good news: drywall pricing follows a repeatable system. Once you understand the variables that drive cost, you can quote any job with confidence, whether it is a 200-square-foot bathroom or a 10,000-square-foot commercial build-out.

Why Per-Square-Foot Pricing Works

Square-foot pricing gives you a universal language to compare jobs, track profitability, and communicate clearly with customers. It breaks the project into a measurable unit that both parties can verify.

This guide walks you through the entire pricing process:

- **National average rates** so you know where the market sits
- **Regional adjustments** because a job in New York costs more than one in Alabama
- **The pricing formula** that accounts for materials, labor, overhead, and profit
- **Step-by-step estimation** from measurement through final bid
- **A ready-to-use bid template** you can adapt to your business
- **Flat-rate vs. per-square-foot guidance** so you pick the right model
- **Change-order handling** to protect your bottom line

KEY PRINCIPLE

Every number in this guide is a starting point. Your actual rate depends on your local market, your overhead, and the complexity of the specific job. Use these figures to calibrate, then adjust based on your real-world costs.

By the end of this guide, you will have a pricing system you can apply to any drywall project, whether you are a solo operator or running a crew of ten.

National Average Rates

The table below shows current national average price ranges for each phase of drywall work. These rates assume standard 1/2-inch drywall on 8-foot walls with normal access.

Service	Low (per sq ft)	High (per sq ft)	Notes
Hanging	\$0.35	\$0.65	Board installation only
Taping	\$0.25	\$0.50	Tape, mud, first coat
Finishing	\$0.30	\$0.55	Skim coat, sand, prep for paint
Full Service	\$1.00	\$2.50	Hang + tape + finish combined

Rates reflect 2024-2025 market data. Ceiling work typically adds \$0.15-0.25/sq ft.

What Drives the Range

Several factors push a job toward the upper or lower boundary:

Factor	Impact on Price
Ceiling height over 8 feet	+15% to +30%
5/8-inch fire-rated board	+10% to +20%
Moisture-resistant (green board)	+10% to +15%
Level 5 finish (full skim coat)	+25% to +40%
Difficult access (stairs, tight rooms)	+10% to +20%
Volume over 5,000 sq ft	-5% to -15%

PRO TIP

Always specify the finish level in your bid (Level 3, 4, or 5). A Level 5 finish can cost 40% more than Level 3, and most customer disputes start with mismatched expectations on finish quality.

Regional Rate Adjustments

National averages give you a baseline, but local market conditions significantly affect what you can charge.

Region	Adjustment	Full-Service Range	Key Driver
Northeast	+20% to +35%	\$1.30 - \$3.10/sq ft	High labor costs, union markets
Southeast	Baseline	\$1.00 - \$2.50/sq ft	Moderate costs, competitive
Midwest	-5% to +10%	\$0.95 - \$2.60/sq ft	Lower overhead, variable demand
West Coast	+25% to +45%	\$1.35 - \$3.40/sq ft	High cost of living, regulation
Mountain West	+5% to +15%	\$1.10 - \$2.75/sq ft	Growth markets, material transport

How to Find Your Local Rate

1. **Check recent bids.** Talk to suppliers and other trades to learn what contractors in your area charge.
2. **Review job postings.** What companies pay crews tells you the labor component of local rates.
3. **Submit test bids.** Bid a few small jobs at the national average and see where you land relative to the winning bid.
4. **Track win rate.** Winning over 40% of bids means you may be too low. Under 20% means too high.

METRO VS. RURAL

Within every region, metro areas run 15-25% higher than rural zones. A job 60 miles outside a major city may need a completely different rate. Always factor drive time and fuel costs when bidding outside your core area.

SEASONAL CONSIDERATION

Demand peaks in spring and summer. If your schedule is full, push rates up 10-15%. During slow winter months, holding your rate on remodels keeps crews busy without eroding your baseline.

The Pricing Formula

Every drywall bid comes down to four components. Get each one right and your bids will be consistently profitable.

$$\text{Total Price} = \text{Materials} + \text{Labor} + \text{Overhead} + \text{Profit}$$

THE DRYWALL PRICING EQUATION

1. Materials (25-35% of total cost)

Material	Typical Cost	Coverage
1/2" drywall (4×8)	\$12 - \$18	32 sq ft/sheet
5/8" drywall (4×8)	\$15 - \$22	32 sq ft/sheet
Joint compound (5-gal)	\$14 - \$20	~460 sq ft/bucket
Tape (500 ft roll)	\$6 - \$10	Varies by layout
Screws (1 lb box)	\$8 - \$12	~300 screws/box
Corner bead (8 ft)	\$3 - \$6	Per outside corner

Always add 10-15% waste factor to your material estimate.

2. Labor (40-50% of total cost)

- Hanging: experienced crew hangs 40-60 sheets/day (two workers)
- Taping and first coat: 1,000-1,500 sq ft/day (one taper)
- Finishing coats and sanding: 800-1,200 sq ft/day

3. Overhead (10-20% of direct costs)

Insurance, vehicle costs, tools, licensing, office expenses, and non-billable time. Track your real overhead monthly and convert it to a percentage.

4. Profit Margin (20-40%)

Your profit margin is not optional. It sustains your business, funds growth, and covers risk. A 20% margin is the minimum for sustainable operations. Top contractors target 35-40%.

MARKUP VS. MARGIN TRAP

A 30% markup is NOT 30% margin. Costs of \$1,000 marked up 30% = \$1,300 price = 23% margin.
For a true 30% margin: $\$1,000 / 0.70 = \$1,428$.

How to Estimate a Job

Follow this process for every estimate. It takes 30-45 minutes on a typical residential project and prevents costly mistakes.

- 1 **Walk the Job Site**
Measure every wall and ceiling. Note ceiling heights, openings, closets, and anything non-standard. Take photos.
- 2 **Calculate Total Square Footage**
Multiply wall lengths by height. Add ceilings. Subtract openings (standard door = 21 sq ft, window = 15 sq ft). Round up to the nearest full sheet.
- 3 **Determine Board Count**
Divide total sq ft by 32 (area of a 4x8 sheet). Add 10-15% for waste. Round up to whole sheets.
- 4 **Calculate Material Costs**
Price sheets, compound, tape, screws, corner bead. Get supplier quotes for the board type needed. Include delivery.
- 5 **Estimate Labor Hours**
Based on crew productivity, calculate hours for hanging, taping, and finishing. Multiply by your loaded labor rate (wages + taxes + comp).
- 6 **Add Overhead**
Apply your overhead rate (10-20%) to materials plus labor.
- 7 **Apply Profit Margin**
Divide subtotal by (1 minus target margin). For 30% margin: subtotal / 0.70.
- 8 **Review and Adjust**
Compare your per-sq-ft rate against market. Adjust for job difficulty, timeline, and relationship value.

COMMON ESTIMATION MISTAKES

Forgetting closet interiors. Underestimating waste on angled rooms. Not accounting for scaffold rental on high ceilings. Missing corner bead on exterior corners. These misses add up to 10-15% of job cost.

Bid Template Example

A completed bid for a 1,800 sq ft residential project (new construction, 8-foot ceilings, Level 4 finish).

Drywall Pro — Project Estimate	
Project: Smith Residence — New Construction	
Area: 1,800 sq ft (walls + ceilings)	Finish: Level 4
MATERIALS	
1/2" drywall sheets (65 @ \$14.50)	\$942.50
Joint compound (4 buckets @ \$17.00)	\$68.00
Tape, screws, corner bead, misc.	\$145.00
Delivery	\$85.00
Materials Subtotal	\$1,240.50
LABOR	
Hanging (2 crew, 2 days @ \$400/day)	\$1,600.00
Taping & first coat (1.5 days @ \$350/day)	\$525.00
Finish coats & sanding (1.5 days @ \$350/day)	\$525.00
Labor Subtotal	\$2,650.00
OVERHEAD & PROFIT	
Overhead (15% of direct costs)	\$583.58
Profit margin (25%)	\$1,491.36
Total Bid Price	\$5,965.44
Per Square Foot:	\$3.31/sq ft

ADAPT THIS TEMPLATE

Replace the sample data with your actual costs. Save it as a spreadsheet so you can plug in numbers quickly. The structure stays the same whether the job is 500 or 15,000 square feet.

Flat Rate vs. Per Square Foot

Not every job should be priced per square foot. Choosing the right model protects your profit and sets clear expectations.

Per Square Foot

Best for standard, measurable work

- New construction with open layouts
- Large commercial projects
- Clear, stable scope
- Repeat work for builders

Flat Rate

Best for complex or small-scope work

- Small repair and patch jobs
- Water damage restoration
- Unusual geometry rooms
- Heavy prep or demolition

Decision Framework

Scenario	Model	Why
New home, 2,500 sq ft	Per sq ft	Standard, easy to compare
Patch 3 holes in living room	Flat rate	Sq ft undervalues mobilization
Office build-out, 8,000 sq ft	Per sq ft	Scalable, transparent
Garage conversion, cathedral ceiling	Flat rate	Complexity makes sq ft misleading
Basement finish, standard layout	Per sq ft	Measurable, market-comparable
Fire/water damage repair	Flat or T&M	Hidden scope; protect yourself

HYBRID APPROACH

Many contractors use per-sq-ft for the main scope and flat-rate add-ons for extras like bulkheads, arches, or textures. This keeps the base bid competitive while capturing value on complex features.

How to Handle Change Orders

Change orders are a reality of construction. How you handle them determines whether they become a profit center or a source of conflict.

Set the Rules Before You Start

Include a change-order clause in every contract:

- All scope changes must be documented in writing
- No additional work begins until the change order is signed
- Changes are priced at standard rates plus 15-20% disruption premium
- Payment for change orders is due upon completion of the added work

Common Change-Order Scenarios

Scenario	How to Price	Impact
Upgrade Level 3 to Level 5	Per sq ft differential + premium	+\$0.30-0.60/sq ft
Additional room added	Standard sq ft + mobilization	Full rate
Framing issues found	Time and materials	\$45-75/hour + materials
Textured finish added	Per sq ft add-on	+\$0.20-0.45/sq ft
Insulation/vapor barrier	Per sq ft or flat	\$0.50-1.25/sq ft

The Change-Order Process

- 1 Document the Request**
 Write down exactly what the customer wants, including measurements and schedule impact.
- 2 Price It Immediately**
 Calculate cost within 24 hours. Include materials, labor, and disruption premium.
- 3 Get Written Approval**
 Present the change order with price, timeline, and terms. Both parties sign before work begins.
- 4 Execute and Invoice**
 Complete the work. Invoice separately or as a clearly marked line item.

PROTECT YOUR PROFIT

Never absorb a change order to "keep the customer happy." A \$200 change you do not charge for erodes the margin on the entire job. Fair pricing builds respect; free work breeds resentment.

DRYWALL PRO

Next Step

You now have a complete pricing system: national benchmarks, regional adjustments, the formula, a step-by-step estimation process, a bid template, and strategies for every pricing decision.

Your next step: Take your last three completed jobs and run them through this pricing formula. Compare what you actually charged against what the formula would have produced. That gap is your opportunity.

If the formula shows you have been undercharging, adjust your rates on the next bid. If it shows you are in line, you now have the confidence to hold your price when customers push back.

**The contractors who thrive are the ones who know their numbers.
Now you do too.**

DRYWALL PRO